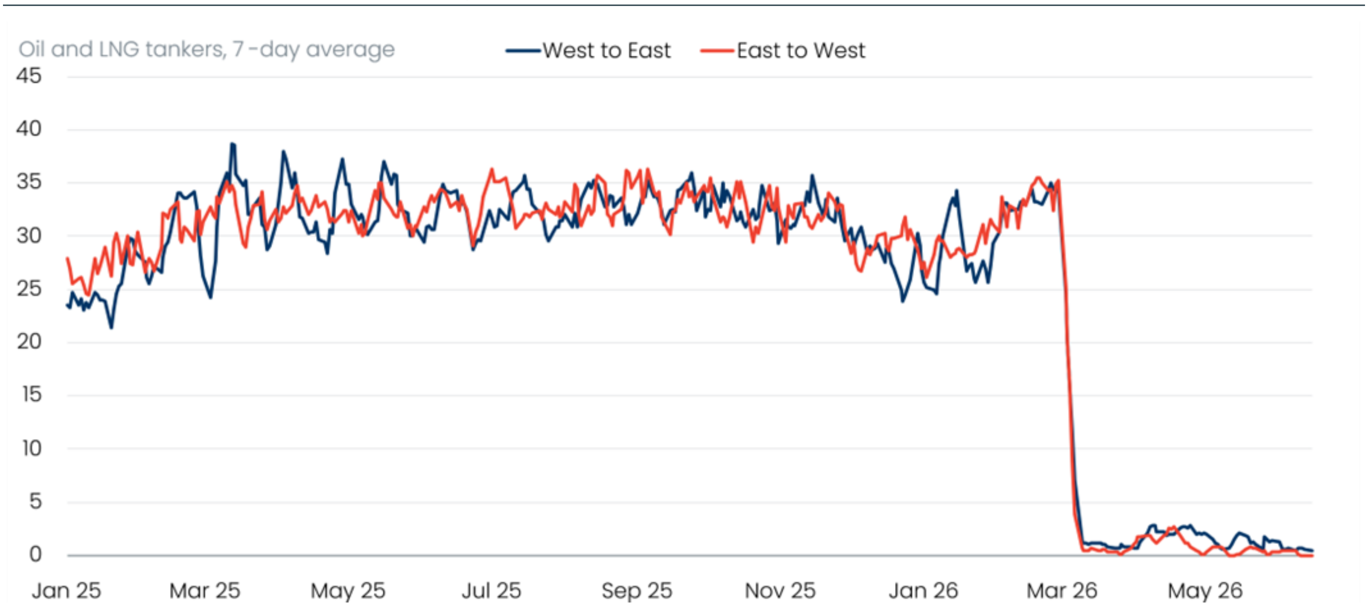
OXFORD ECONOMICS

Ceasefire impact, India's FX policy, and central bank divergence

- **Reopening the Strait of Hormuz should ease severe disruption to Middle East trade, reducing downside risks to the forecast. But renewed fighting in Lebanon has delayed permanent peace talks, underscoring the multiple obstacles to a lasting deal.**
- **India's policymakers are trying to defend economic growth and financial stability by relying on FX management and capital inflows, raising the risk that external and inflation pressures become entrenched.**
- **Next week will underscore the policy divergence among EM central banks: Mexico and Thailand are set to stay on hold, while Hungary is likely to resume easing. Meanwhile, EM Asia should remain hawkish despite easing energy prices.**

US and Iranian leaders have signed a new ceasefire agreement restoring passage through the Strait of Hormuz. The resumption of oil and gas exports alongside broader imports of goods is crucial for the GCC and wider Middle East. The initial market reaction has lowered oil prices by around 10%, reflecting reduced risk of a global supply crunch and offering relief for many emerging markets. However, the impact on energy exports and GDP is expected to be uneven across the region, with some economies more exposed than others.

Chart 1: Inward (East to West) shipping flows tend to lead outward (West to East) traffic



Source: Oxford Economics, Bloomberg

We expect a gradual normalisation, with shipping volumes returning to pre-war levels only by the start of next year (Chart 1). The interim peace deal should entail an initial surge in shipping activity as vessels previously stranded by the conflict move through the strait. This is expected to slow as confidence builds around the durability of the ceasefire. Near-term sentiment is expected to remain fragile, given continued geopolitical risks, including tensions involving Lebanon and recent Israeli strikes. As a result, shipping companies may remain

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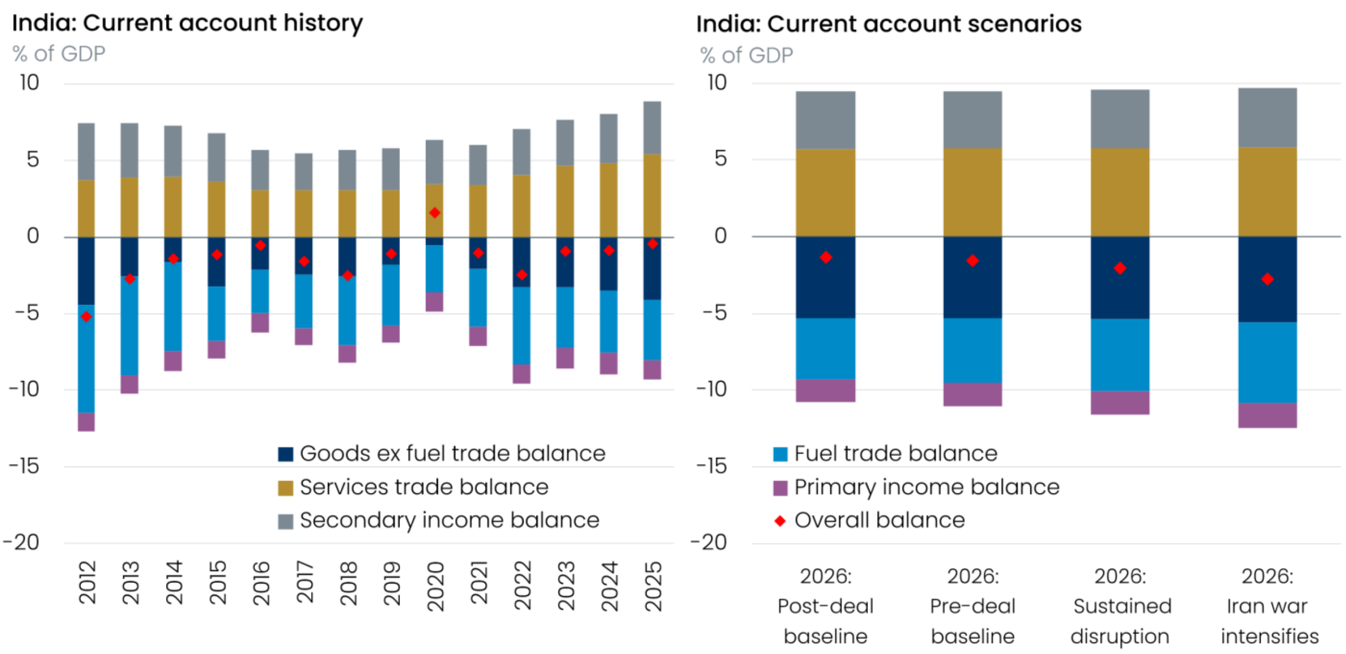
cautious in committing staff and resources. Elevated insurance premiums, logistical realignment, and the need to re-establish disrupted trade routes will also weigh on the pace of recovery.

Before the ceasefire, we had downgraded GCC growth forecasts on weaker industrial production and trade data. We now forecast GCC economies to contract by 2.4% this year, compared with a 1.2% contraction in our June forecast, and 4.4% growth in our pre-war baseline.

India's policy balancing act risks entrenching external pressures

India's policymakers are trying to defend growth and financial stability at the same time, using FX management, regulatory measures, and capital-inflow incentives, rather than tighter monetary policy or stronger import-reducing measures. The pressure stems from a weaker current account outlook (Chart 2), driven by a larger fuel deficit together with softer capital account support. Even though India's external position is not flashing crisis signals, portfolio outflows and weak net FDI have made the rupee more vulnerable to even a moderate current account deterioration.

Chart 2: The Iran war is widening India's current account deficit



Sources: Oxford Economics, Haver Analytics

The Reserve Bank of India has responded by reviving parts of its 2013 'taper tantrum' toolkit, including incentives for fresh FCNR(B) deposits and concessional FX swap facilities to encourage offshore dollar borrowing. These measures could generate near-term dollar inflows and help stabilise the rupee, but the comparison with 2013 is imperfect: global interest rates are much higher now, reducing the relative attractiveness of FCNR(B) deposits, while investor take-up remains heavily dependent on global risk sentiment.

A durable resolution of the Iran war could provide the improved sentiment backdrop needed for the RBI's strategy to work without a near-term policy pivot. But if oil prices remain elevated, import compression stays limited, and outflows continue, rupee weakness could feed into a higher import bill and rising inflation expectations. That risks creating a negative feedback loop that could ultimately force a sharper RBI tightening later, making today's growth-first FX defence more costly over time.

A mixed picture for EM central banks next week; EM Asia stays on hawkish watch

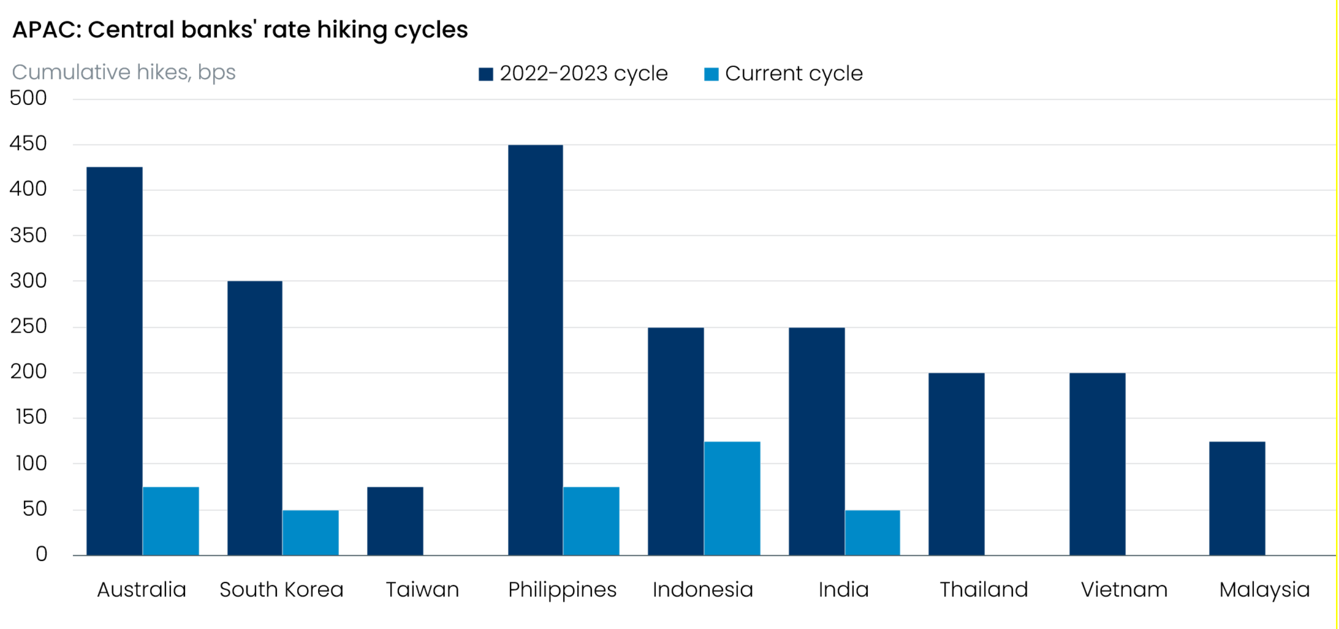
We expect Banxico to hold its policy rate at 6.5% in line with previous forecast in its meeting on June 25. Energy subsidies are offsetting the oil shock, but core inflation remains sticky, and members still see a range of upside risks to the inflation outlook. The normalisation cycle ended with the last cut, but we believe that persistent economic slack will drive most of the board to bring the policy rate slowly below neutral late this year or early 2027, once core inflation shows a sustained trend towards the target.

The Bank of Thailand (BoT) is also expected to maintain its policy rate at 1%. The central bank has previously emphasised that risks of second-round effects are likely to be limited, allowing it to look through the current inflation. The unexpected easing of inflation in May, coupled with optimism for the ceasefire deal, is likely to have reinforced the BoT's decision to hold the policy rate steady.

The Magyar Nemzeti Bank (MNB) is expected to cut rates by 25bps to 6%. At its last meeting, the central bank reaffirmed a data-driven, meeting-by-meeting approach, but cautiously opened the door to a cut at the next meeting, citing subdued inflationary pressures alongside a firm appreciation of the forint and declining long-term bond yields. A downward inflation surprise in May reinforced our forecast.

EM Asian central banks are still likely to hike further this year, but the cycle should be shorter than in 2022-2023 and could pivot quickly once FX and inflation pressures ease (Chart 3). Even a durable US-Iran de-escalation would not fully remove the imported-inflation problem, as elevated energy and input costs, weak currencies, and external credibility concerns remain. We expect EM Asian countries to out-hike DM peers because policy-rate transmission is weaker in parts of the region, meaning larger headline moves may be needed to stabilise expectations and currencies.

Chart 3: Expect less than half the extent of rate hikes seen in the last cycle



Source: Oxford Economics. Note: Current cycle refers to OE's latest baseline forecast. Singapore is omitted given its non-rate policy instrument; China omitted given it eased / paused in both cycles; Japan omitted given rate normalisation since 2024.

Risks to the policy rate outlook are two-sided: faster reopening of the Strait of Hormuz and easing FX pressure could bring an earlier end to tightening, whereas renewed disruption or weaker risk sentiment could force more hikes. But hikes shouldn't extend into a long cycle, as tighter financial conditions are expected to weigh heavily on EM Asia capex with a lag, strengthening the case for rate cuts as currencies stabilise and the energy shock fades.

Monetary policy decisions

Table 1: Key recent monetary policy meeting decisions

	COUNTRY	KEY RATE (NOW)	OUTCOME	COMMENT
Jun 16	Chile	4.50%	Hold	The Central Bank of Chile (BCCh) kept its benchmark interest rate unchanged at its June meeting in a unanimous decision. Inflation eased to 3.9% in May, but rising core inflation suggests that underlying price pressures remain persistent. Our forecast remains unchanged: we expect the BCCh to keep rates on hold through 2026, with easing likely to begin in 2027.
Jun 17	Brazil	14.25%	Cut	The Central Bank of Brazil (BCB) cut its benchmark rate by 25 bps to 14.25% at its June meeting, in line with our and the market's expectations. Concerns over economic activity and heightened uncertainty were the key drivers of the decision, despite inflation remaining above target. Our forecast for a further 50bps cut in Q3 is unchanged.
Jun 18	Czech Republic	3.75%	Hike	The Czech National Bank (CNB) raised rates by 25bps in June as persistent wage and services inflation outweighed softer headline inflation. We forecast another 25bps hike in Q3 amid ongoing domestic price pressures.
Jun 18	Philippines	4.75%	Hike	The Bangko Sentral ng Pilipinas (BSP) raised its policy rate by 25bps to 4.75%, undershooting our 50bps call. Persistent inflation pressures remain with core inflation continuing to rise and the BSP projecting headline inflation to remain above its 2%-4% target range through 2027. We expect another 25bps rate hike in August.
Jun 18	Indonesia	5.75%	Hike	Bank Indonesia (BI) hiked its policy rate by 25bps to 5.75%, as we and the market had expected. Weakness in the rupiah remains the key focus, as it is still down 6.4% year-to-date against the US dollar. We expect another 25bps rate hike next quarter, followed by a pause.
Jun 18	Taiwan	2.00%	Hold	The Central Bank of Taiwan (CBC) kept its policy rate at 2% at its June meeting. Although the board acknowledged rising inflation risks from energy shocks, our forecast is that risks to the CBC's policy rate outlook are balanced for now, and the CBC will hold its rate steady for the rest of 2026.
Jun 18	Ukraine	15.00%	Hold	The National Bank of Ukraine (NBU) kept its policy rate unchanged at 15% at its June 2026 meeting, marking a third consecutive hold following a 50bps cut earlier in the year. It judged current rates as sufficiently tight to maintain a restrictive monetary stance and support demand for hryvnia-denominated assets.
Jun 19	Russia	14.25%	Cut	The Bank of Russia cut its key rate by 25bps to 14.25%, citing moderate economic growth following an earlier contraction. While underlying inflation has eased, it remains elevated at around 4%-5% annualised. As a result, we have revised our forecast to a further 25bps cut in Q3.

Source: Oxford Economics

This week's publications

Research Briefings

MENA: Strait to reopen but shipping recovery will take time

India: Growth-first FX defence risks a sharper reckoning later

Asia Pacific: How much is your hawk worth?

Taiwan: Central bank exercises patience for now

Czech Republic: The CNB hikes, and not for the last time

Argentina: Export-oriented sectors will remain the main growth engine

Turkey: FX policy can defy the tourism headwinds

Russia: War economy runs out of road

Data Insights

Taiwan: CBC stays patient as risks remain contained

Indonesia: BI hike equaliser buys time, not comfort

Philippines: A measured hike to contain inflation

Chile: BCCh holds steady as growth softens

China: Domestic weakness clouds Q2 outlook

India: Inflation is slowly but surely creeping up

Country Economic Forecasts and other publications

Poland: Sustained US-Iran truce would help keep growth solid and inflation subdued

Turkey: Outlook remains challenging after growth disappointed in Q1

Upcoming data releases

Table 2: Upcoming data releases

	INDICATOR	DATE OF RELEASE
Poland	PPI y/y%	June 22
	Retail sales	June 22
	Unemployment rate	June 24
Argentina	Unemployment rate	June 22
	GDP y/y%	June 23
	Trade balance	June 24
Taiwan	Unemployment rate	June 23
Hungary	Monetary policy rate	June 23
	Unemployment rate	June 25
	Trade balance	June 26
Mexico	Retail sales	June 23
	CPI y/y%	June 24
	Unemployment rate	June 25
	Monetary policy rate	June 25

	INDICATOR	DATE OF RELEASE
Thailand	Monetary policy rate	June 24
South Africa	PPI y/y%	June 25
Brazil	Trade balance	June 26
	Unemployment rate	June 26

Source: Oxford Economics

Key forecasts

Table 3: Global emerging markets forecast

	REAL GDP (% Y/Y)			INFLATION (% Y/Y)		
	2025	2026	2027	2025	2026	2027
Emerging Markets	4.5	3.7	4.4	4.3	5.0	4.1
Asia Pacific	4.4	4.1	3.9	1.3	2.8	2.6
China	5.0	4.8	4.6	0.0	1.2	1.2
India	7.5	6.5	6.7	1.3	6.9	3.9
Indonesia	5.1	5.0	5.0	2.9	4.4	2.0
Malaysia	5.2	4.4	4.4	1.6	2.8	1.5
South Korea	1.1	2.5	1.9	2.3	2.8	1.5
Thailand	2.4	1.8	1.7	-0.3	4.1	0.3
Latin America	2.9	2.0	2.5	13.9	11.0	8.2
Argentina	4.4	2.5	2.8	31.4	35.1	19.7
Brazil	2.6	1.6	1.7	4.3	4.9	3.6
Chile	2.6	0.9	3.0	3.4	4.1	2.6
Colombia	2.6	2.9	2.6	5.1	7.2	4.7
Mexico	0.7	0.9	2.0	3.7	4.1	3.5
CEEMEA	3.1	2.5	3.0	19.9	17.8	12.4
Hungary	0.4	1.8	2.1	3.3	3.9	3.5
Poland	3.6	3.5	2.9	2.4	3.6	2.1
Russia	1.0	0.4	1.2	5.6	5.3	4.7
South Africa	1.1	1.1	1.4	3.6	4.9	3.4
Turkey	3.6	2.3	3.4	30.9	29.4	19.1

Sources: Haver Analytics, Oxford Economics. Forecasts: Oxford Economics. Note: Latin America aggregate figures exclude Mexico and Venezuela; CEEMEA aggregate figures exclude South Africa.

Table 4: Inflation targeting in emerging markets

	INFLATION (%Y/Y, EOP)				POLICY RATE (%, EOP)			
	CURRENT	2026F	2027F	TARGET	CURRENT	2026F	2027F	NEXT POLICY RATE MOVE
Asia Pacific								
China	1.2	1.2	1.4	2.0% ceiling	1.40	1.40	1.40	On hold through 2027
India	3.9	6.9	3.9	4.0% (+/- 2.0%)	5.25	5.75	5.75	25bps hike in Q3 2026
Indonesia	3.1	4.4	2.0	2.5% (+/- 1.0%)	5.75	6.00	4.75	25bps hike in Q3 2026
Malaysia	1.9	2.8	1.5	na	2.75	2.75	2.75	On hold through 2027
South Korea	3.1	2.8	1.5	2.0%	2.50	3.00	2.75	25bps hike in Q3 2026
Thailand	2.8	4.1	0.3	2.0% (+/- 1.0%)	1.00	1.00	1.00	On hold through 2027
Latin America								
Brazil	4.7	4.9	3.6	3.0% (+/- 1.5%)	14.25	13.00	10.50	50bps cut in Q3 2026
Chile	3.9	4.1	2.6	3.0% (+/- 1.0%)	4.50	4.50	4.00	25bps cut in Q1 2027
Colombia	5.8	7.2	4.7	3.0% (+/- 1.0%)	11.25	11.25	9.50	25bps cut in Q1 2027
Mexico	3.9	4.1	3.5	3.0% (+/- 1.0%)	6.50	6.25	6.25	25bps cut in Q4 2026
CEEMEA								
Hungary	1.8	3.9	3.5	3.0% (+/- 1%)	6.25	5.50	4.75	25bps cut in Q2 2026
Poland	3.1	3.6	2.1	2.5% (+/- 1%)	3.75	3.75	3.50	25bps cut in Q1 2027
Russia	5.3	5.3	4.7	4.0%	14.25	12.50	10.50	25bps cut in Q3 2026
South Africa	4.4	4.9	3.4	3.0% - 6.0%	7.00	7.25	6.25	25bps hike in Q3 2026
Turkey	32.6	29.4	19.1	5.0% (+/- 2.0%)	37.00	35.50	24.00	100bps cut in Q4 2026

Sources: Haver Analytics, Oxford Economics. Forecast: Oxford Economics.
Note: The policy rate for China here is the seven-day reverse repo rate as it has increasingly been used as a short-term policy signal. The one-year medium-term lending facility remains the rate linked to central bank policy, RCB, in Oxford Economics' Global Economic Model (GEM). The seven-day reverse repo rate is currently available in GEM as RRP7D, and we're in the process of introducing it for broader use.

Table 5: Global emerging markets currency forecast

(PER US DOLLAR, EOP)	LATEST	Q2 2026	Q3 2026	Q4 2026
Asia Pacific				
China	6.76	6.76	6.75	6.74
India	95.4	94.8	95.4	95.7
Indonesia	17826	18100	18000	17800
Malaysia	4.14	4.00	3.95	3.85
Philippines	60.5	61.4	60.9	60.4
South Korea	1523	1510	1490	1479
Thailand	32.7	32.6	32.4	32.4
Latin America				
Brazil	5.16	5.00	5.07	5.12
Chile	897.2	902.4	904.0	904.0
Colombia	3460	3500	3600	3650
Mexico	17.4	17.7	17.8	18.1
Peru	3.38	3.43	3.46	3.48
CEEMEA				
Czech Republic	21.1	21.0	21.0	21.0
Hungary	308	310	311	311
Poland	3.72	3.68	3.66	3.65
South Africa	16.5	16.5	16.5	16.7
Turkey	46.3	46.7	48.7	50.7

Sources: Haver Analytics, Oxford Economics. Forecast: Oxford Economics. Note: Latest as of June 19.